The US and India now needed each other to play a role in their China strategies. This newfound importance was accompanied by a greater tolerance of the other's approach. There was also a reduced emphasis on differences and—where they continued to exist—a better way of handling disagreements. For India, this stood in sharp contrast to the way communist countries seemed to handle disagreements.

This chapter, covering the period from 1956 to 1958, first considers the reasons for the shift in the Eisenhower administration's approach toward the uncommitted world, and its changing perception of India in relation to China. It then outlines how the idea of the development race between China and India took hold in American and Indian minds and facilitated the American desire to aid India. The next section considers why Indian views of China—and the US in relation to it—changed. It lays out how China's bilateral and subcontinental behavior raised Indian concerns, and how Indian policymakers found their approach to global issues diverging from that of China and the communist world more broadly. The chapter then looks at how converging American and Indian perceptions of China, as well as India's stepping back from an intermediary role between China and the US, created the conditions for Delhi and Washington to manage their differences more effectively.

Changing Diagnosis, Changing Prescription: The Infiltration of Ideas and Influence (1956–1958)

By the mid-1950s, Eisenhower saw the uncommitted world as a crucial, if not the primary, Cold War battleground—and it appeared to be tilting toward the communists. The post-Stalin Soviet leadership had taken the initiative in wooing these nations, and a rival suitor piqued US interest and concern. Toward the end of 1955 and into 1956, the administration was anxious about the Sino-Soviet bloc's economic offensive. The CIA highlighted a particular concern: most of the Soviet economic assistance was for four countries (Afghanistan, Egypt, India, and Yugoslavia). Eisenhower worried that, unlike Soviet-supplied guns, which elicited fear, butter would present a more benign and attractive Soviet face in those countries. This concern was not restricted to the White House. A significant